

SBA COMMUNICATIONS CORP SBAC

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by

u0422811

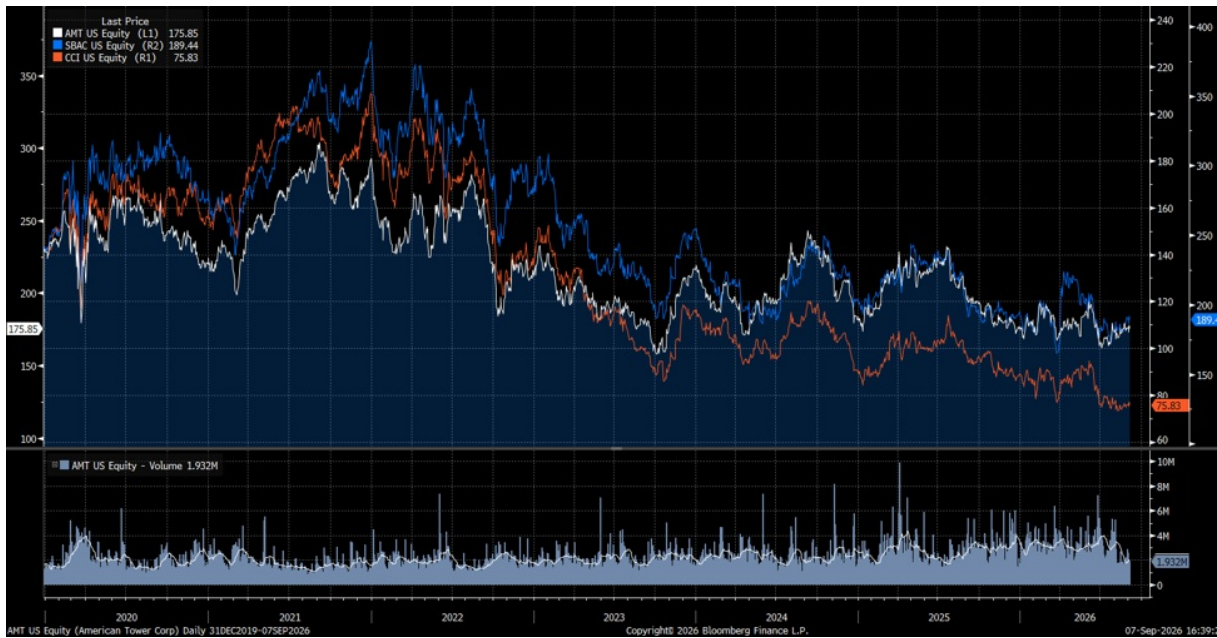
2026 2027

Price:	189.44	EPS	0	0
Shares Out. (in M):	106	P/E	0	0
Market Cap (in \$M):	20,097	P/FCF	0	0
Net Debt (in \$M):	12,975	EBIT	0	0
TEV (in \$M):	32,000	TEV/EBIT	0	0
Borrow Cost:	General Collateral			

Description

TL;DR cell towers have the potential to be Class B Mall REITs circa 2010. Since 2021 the stocks have mainly weakened due to “rates” but I think there is more bubbling under the surface that folks are missing. Consolidation churn ends in 2026 and consensus assumes nothing replaces it; renewal repricing does, it's invisible because it never touches the churn line, and the Verizon MLA is the mechanism. The traditional growth algo here is being renegotiated real-time which may permanently alter LT economics. I think this is a short that can make 30%+ in the medium term and potentially be a multi-year short one can just ride should the decremental economics really pick up.

First some quick background:



Since 9/3/21:

- AMT: -31.88% (-7.39% annually with dividends reinvested)
- SBAC: -43.77% (-10.86% annually with dividends reinvested)
- CCI: -51.46% (-13.45% annually with dividends reinvested)

I like when businesses that are viewed as dominant with pricing power slowly but surely lose their luster. A great recent example is Charter (CHTR). Which from this day in 2021 is down 81% (-28.4% annually). Cell tower companies (AMT, CCI, SBAC) are valued by public markets as infrastructure utilities entitled to perpetual organic escalation and unassailable real estate moats. In reality, the sector faces significant pressure in the form of: demand suppression, carrier procurement pushback, and balance-sheet refinancing headwinds.

The traditional cell tower business has two variables to its revenue algorithm:

- Colocations (a second or third carrier adding equipment generating 90%+ incremental margins)
- Amendments (an existing carrier adding heavy equipment or new spectrum bands triggering fee revisions).

Both of these mechanisms are now in structural decline. Modern cellular equipment has become smaller and more power efficient. Historically upgrading from 2G=>3G=>4G, etc. required carriers to add discrete heavy remote radio heads and thick copper cabling which triggered rich amendment fees. Rather than adding new equipment layers that trigger incremental amendment revenue, carriers are swapping out older antennas for smaller lighter units that fit inside the existing RAD-center boundaries that are grandfathered into master lease terms. These equipment swaps do not exceed grandfathered wind-load and weight parameters established in the original MLA (master lease agreement).

Here is the simplistic short case:

(1) Over the last 20-30 years compounding price escalators have driven lease rates on older macro sites to unsustainable levels (some extremes at \$9k-\$10k per month). The consolidation of carriers (we are down to three domestically: Verizon, AT&T, and T-Mobile) has given them further negotiation power AND they have started aggressively identifying higher cost towers and demanding concession and unbundling.

a. Alternative footprints have started flooding the space (PE buildings like Tillman and Vertical Bridge) and carve-outs like Array Digital.

i. "You don't want cold steel towers because it's basically just a zero revenue depreciating asset that's sitting out there. There's not a big market for cold steel towers." – Former AMT C-Suite Executive

(2) Traffic growth has decoupled from tower demand. The bear case on demand is not that data growth stops. It is that data growth has decoupled from tower demand. Carriers now absorb traffic growth through spectral efficiency and mid-band depth rather than site count: T-Mobile's 2.5 GHz inventory lets it serve more traffic from fewer structures, which pressures AT&T and Verizon to add tenants on existing towers rather than fund new builds. The relevant metric is therefore not consumption. It is billable structural change per unit of consumption, and that ratio has been falling for three network generations.

a. "There is no economics in building towers in the middle of nowhere. Satellites fill in very remote areas... tower cos were counting on growing more towers to do infill. Elon Musk threw a wrench into that with Starlink".

(3) When carriers decide a tower site is redundant or overpriced, they do not hesitate to walk away once contracts expire or through corporate restructuring. In the transaction where T-Mobile acquired US Cellular's wireless operating assets, T-Mobile committed to a minimum of 2,015 incremental towers on 15-year terms plus ~600 extended, against ~4,456 owned, with interim licenses on up to 1,800 sites for up to 30 months and a January 2028 deadline. Tenancy fell from ~1.57 to ~1.0. Roughly 1,800 sites face the loss of their only tenant.

One bull case for towers has been focused on "edge compute" for data centers and AI workloads. But when speaking with industry experts one quickly kills this leg of the bull case:

• "Edge is a pipedream. All hype... The carriers have not embraced the tower edge mentality. Getting more entrenched with a tower company by leasing space from them at their edge is challenging. The carriers are finding alternative ways—they are using space near towers instead of at the tower... Edge at every tower is cost-prohibitive and not going to happen." – Former C-Suite of SBAC

The common defense of why cell towers are awesome is (a) data only goes up and (b) long-term MLAs with pricing escalators. The ongoing DISH Network litigation has demonstrated there is an operational limit to these contracts. DISH drove colocation pricing to historic lows, then stopped paying, and ironclad contracts didn't manufacture cash from an abandoned network. The cell tower is left holding the bag with multi-year litigation and unrecoverable receivables and impaired stranded steel (hence my analogy to Class B Mall REITs at the beginning). Note: SBAC removed all of DISH's revenue as of January 1st 2026.

Another bull argument is on July 22, 2026 the FCC adopted an order making 160 MHz of the 3.98–4.2 GHz band available, and the stated goal was creating a unified "3.7 GHz Service" with licensing and operating rules that generally mirror the Lower C-band framework, establishing a largely harmonized 440-megahertz "super band" from 3.7–4.14 GHz. The FCC's baseline proposition throughout was to apply the existing 3.7 GHz Service rules from the Lower C-band to any newly authorized terrestrial operations. Verizon and AT&T already have massive MIMO arrays on these towers operating in 3.7–3.98. Upper C-band starts where that stops. Contiguity is the point. Current mid-band massive MIMO radios support up to 530 MHz of instantaneous bandwidth and are marketed as replacing two units with one. A carrier deploying 3.98–4.14 adjacent to spectrum it already runs is a swap inside grandfathered wind-load, not an amendment. And the benchmarks are population-based — 45% within two years of the Transition Deadline, 80% within six — measured from clearing, not from the auction. First hard obligation lands around 2030.

While this technically applies to all cell towers I would target SBAC since the most levered of the two pure-plays, refinancing headwinds, and zero data center halo. CCI is the cleaner structural expression but has already fixed its balance sheet and reset its dividend. SBAC is where the financial engineering that carried per-share growth is still in consensus numbers.

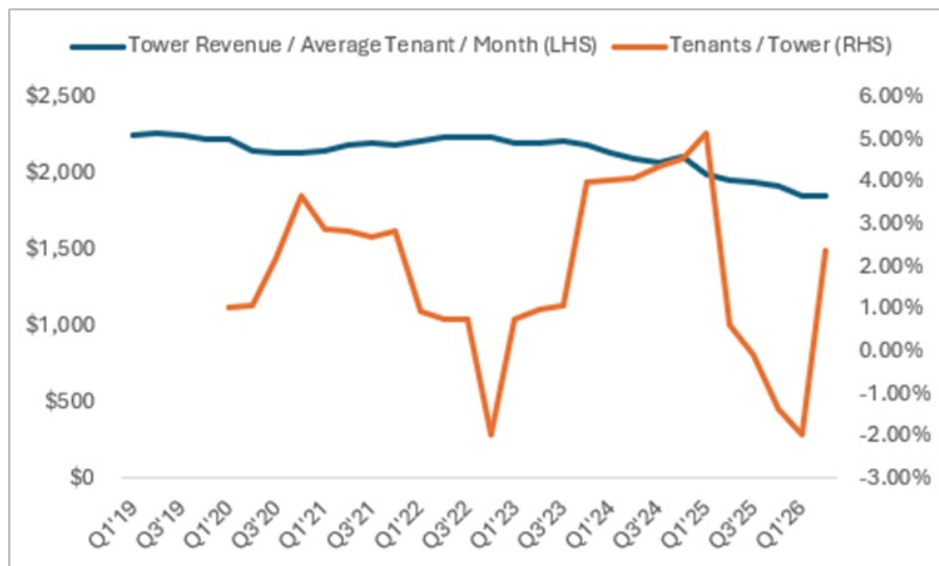
SBAC currently has \$12.4B in net debt (6.9x Net Debt / Adj LTM EBITDA (6.4x fwd) and 4.9x net secured). SBA has already refinanced the near-term stack — \$3.5B of inaugural IG notes in July at a 5.11% blended coupon, with the \$1.2B November ABS assumed to clear at 5.25%. Every tranche that rolls adds ~190bps of cash interest (\$19M/\$1B or \$0.18/share), and this runs through 2030.

On April 2, 2026, Bloomberg reported SBAC was exploring options including a sale after receiving preliminary takeover interest from large infrastructure funds. Barron's and TMT Finance reported KKR and Brookfield interest around \$250 a share, versus an April 1 close of \$171.56. On May 12, Green Street reported KKR had entered exclusive talks and then paused over the size of the required equity check and valuation. By mid-June the process was reported dead, and the stock fell 4%. Bulls treat the reported KKR and Brookfield interest as establishing a private-market floor near \$250. The more useful reading is the opposite. Two of the largest infrastructure sponsors in the world, with permanent capital and the lowest cost of funding available to any buyer of this asset class, conducted diligence on the full book, entered exclusivity, and walked.

Sell-side bridge from 2026-2028 recovery assumes domestic organic growth mean-reverts to 4-5%: roughly 3% from contractual escalators plus 2-3% from new leasing. Both inputs are being renegotiated in real time, and the mechanism is the comprehensive MLA. When SBA announced its ten-year master lease agreement with Verizon in November 2025, Verizon described it as securing "a favorable framework that will drive significant cost certainty" and "the flexibility needed for Verizon to be "more nimble" in managing its current infrastructure asset portfolio." I read this as the tenant has bought a ceiling on escalation and pre-purchased the right to decommission. They are trading volume today in exchange for a lower long-run rate of change. AMT's Verizon MLA expires inside the next two years and Verizon is already running a high-rent relocation program aimed at migrating expensive legacy sites onto challenger structures.

SBA's historical AFFO per share growth has been meaningfully financial rather than operational. For a decade SBAC ran the same loop: issue tower securitizations at coupons in the low threes, retire shares, and let a shrinking denominator carry per-share growth (made up for so-so organic growth). That loop requires two conditions, and both have failed. Incremental debt now costs 5.11% blended on the July 2026 investment-grade issuance, roughly 175 to 250 basis points above the maturing ABS stack it replaces. And at 6.4x against a stated 6.0-7.0x target, with a dividend that grew 13% year over year and now consumes about 41% of AFFO, there is no debt capacity left to fund repurchases. Buybacks must now come out of free cash flow: \$1.1 billion of authorization remains and management intends to resume in the second half of 2026, but that is a fraction of the historical run rate.

I think this is a powerful chart – if this was a business with HUGE pricing power...why is the revenue per average tenant per month dropping almost every quarter? Tenants per tower is still growing a bit...but I think that will start to change due to some of the factors mentioned above (and below).



At ~\$189/share against 2026 AFFO per share guidance of \$11.95-\$12.40 (implying 15x-16x AFFO) I think that is too high given potential for the negative headwinds to accelerate. I think there is a high probability AFFO will be weaker going forward AND the multiple on it will continue compressing. Bear-case 2028 AFFO/share of ~\$10.50 against consensus near \$13.75. At 13x that's ~\$136, or -28%. Consensus at 15x is ~\$207. I also think this could have multiple years to go as cell network topology continues to evolve.

While Starlink is not a boogie man it does represent a real threat. Towers trade on the assumption that the macro network is the permanent, unavoidable layer of wireless. That assumption is being tested from an unexpected direction. SpaceX has accumulated roughly 65 MHz at 2 GHz from EchoStar, bid in the June 2026 re-auction, and is positioned for the upper C-band auction. It is assembling the components of a carrier that acquires subscribers without leasing macro sites. Elon has stated Starlink will be integrated into all Tesla vehicles, with the Cybercab first, removing connected-vehicle connectivity from the terrestrial demand pool. Neither development moves 2028 AFFO but both change what a rational buyer pays for it. A landlord whose tenants face a new competitor with no ground rent, in an asset class where the terminal growth rate is already being renegotiated, does not deserve 15x.

You also get some downside optionality here should the Fed raise rates - last I checked not good for a really levered player who is treated like a real estate proxy. To me this feels like an interesting asymmetric bet.

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Catalyst

- 1. February 2027 guidance.** Sprint churn drops out, the \$14M Oi wireline piece is non-recurring, EchoStar is already zeroed - so 2027 domestic organic guide is a clean read on underlying pricing. If it comes in at 2%-3% instead of 4%-5% that bulls hope for that is a powerful sign.
- 2. Capital allocation.** Management said buybacks resume with \$1.1B remaining. Whether they actually execute, and at what pace is a very interesting question here. This could be a signal the capital allocation flywheel is broken.

Messages

Subject	Valuation
Entry	09/07/2026 10:21 PM
Member	ATM
Thanks for the interesting write-up. SBAC and peers certainly have been under significant pressure lately. Rates, SpaceX, Churn, etc. I wasn't sure I understood from the write-up, exactly what price level you think we see here over the next 12 - 24 months. Maybe to frame it another way, is there a stock price (and related dividend yield) that would make you excited to own some SBAC?	
Subject	One Star
Entry	09/09/2026 10:25 AM
Member	blaueskobalt
I think the core of your thesis makes some good points that sometimes get overlooked, but you say a number of things that range from misleading to outright false: • misrepresent the strength of the MLAs and the strength of the tower REITs' negotiating power (i.e., it would be far more costly for a carrier to try to replace a big three towerco lease than to simply renew on similar terms/prices) • misrepresent the TMUS/USM deal, which was essentially between related parties and involved no lease break nor nonrenewal. • claim that a transparent, multiyear policy of leverage-neutral share repurchases is "financial engineering." • imply that buybacks are about to fall off a cliff, even as the five-year trailing average average (\$400mn/yr) is less than half the go-forward, leverage neutral capacity. • misrepresent the reason for the M&A talks breaking off (mgmt ask was >\$280) • misrepresent the 2025 VZ MLA renewal • set a overly-high straw man for 2027 guidance, even as consensus is lower due to known issues that have been communicated by mgmt (e.g., tail of Sprint churn) • Throw out a 2028 AFFO estimate that is wildly below consensus with no support TBH, I think the most important issue for SBAC/AMT/CCI is SpaceX. The market is clearly worried about their ability to disrupt towers, even as every network engineer says that it is impossible. If Starlink somehow succeeds in introducing a competitive, nationwide product without towers, there is a lot of downside. If they don't, then the towers probably drift up. If Starlink were to sign an MLA with any TowerCo, then they probably all gap up 20%+ that day.	